

Lesson 17: Amortization and Credit Card Debts

Criteria	Exceptional (4)	Proficient (3)	Developing (2)	Needs Improvement (1)
Identification of Variables (PV, I/Y, N, PMT)	Correctly identifies all inputs, including adjusting for payment frequency (e.g., P/Y, C/Y).	Identifies all key variables correctly, minor error in payment frequency adjustment.	Identifies most variables, but misses crucial inputs (e.g., interest rate per period).	Incorrectly identifies fundamental variables, leading to wrong calculations.
Formula Application / Calculator Usage	Accurately applies the amortization formula or uses a financial calculator to compute values.	Correct formula usage, with minor rounding error in the final step.	Formula chosen correctly, but error in execution or substitution.	Incorrect formula chosen or inability to use the financial calculator correctly.
Schedule Construction (Principal, Interest, Balance)	Accurately constructs the table, correctly splitting interest and principal for each payment.	Table is mostly accurate; minor errors in calculating interest or principal portions.	Table construction shows understanding, but multiple rows are incorrect or inconsistent.	Table is fundamentally incorrect, showing no understanding of the amortization process.
Accuracy of Results	Final payment amounts, total interest paid, and final balance are accurate, including	Results are mostly accurate, with one minor calculation or rounding error.	Results contain several errors in calculation, impacting final figures.	Calculations are largely incorrect, and final answer is wrong.

correct rounding to
two decimals.

**Conceptual
Understanding**

Demonstrates
understanding of how
principal repayment
reduces interest over
time.

Understands the
relationship between
payments, principal, and
interest.

Limited understanding
of how the outstanding
balance affects the next
interest payment.

Cannot explain or
calculate how the
balance is reduced.